

20STCV47160 20STCV47160

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Case Number: 20STCV47160 Hearing Date: August 5, 2026 Dept: 307

15 TENTATIVE RULING 9:15 a.m., Wednesday, August 5, 2026

LAW

OFFICES OF PHILIP R. SHELDON, APC v. THOMAS V. GIRARDI, et al. [20STCV47160]

DEFENDANT

DAVID LIRA'S MOTION FOR JUDGMENT ON THE PLEADINGS AS TO THE SECOND AMENDED COMPLAINT

MEET AND

CONFER: DEFECTIVE Counsel

for moving party fails to submit a meet and confer declaration to show compliance with CCP § 439.

TIMELINE:

alleges aiding and abetting of breach of fiduciary duty and financial elder abuse

Circa

2008/2009: Plaintiffs Law Offices of Philip R. Sheldon, APC (the "Sheldon

Firm"),

Philip R. Sheldon ("Sheldon"), Law Offices of Robert P. Finn (the "Finn Firm"), and Robert P. Finn ("Finn") (collectively, "Plaintiffs") jointly represented clients with attorney Defendant Tom Girardi ("Girardi") and his law firm, Girardi & Keese ("G&K") pursuant to written agreements. The clients' underlying claims arose from personal injuries sustained from exposure to toxic chemicals produced by cement manufacturing facilities in California (the "TXI

Cases"). Defendants David Lira ("Lira") (Girardi's son in law) and Robert Finnerty ("Finnerty") were partners at G&K.

Unknown

Date: The TXI Cases were resolved with a cash settlement of \$31

million.

Girardi received the settlement funds on behalf of joint counsel. Plaintiffs allege that Girardi/G&K breached his fiduciary duties to Plaintiffs by failing to pay their share of the attorney fees award.

12/9/2020: The Sheldon Firm files the Complaint against Girardi and G&K. On 12/16/2020, Plaintiffs file a First Amended Complaint, adding Sheldon, Finn, and the Finn Firm as co-plaintiffs and adding Defendants Erika Girardi/Jayne (Girardi's wife), EJ Global, LLC, 11226 Wilshire Partnership, Girardi Financial, Inc., Lira, and Finnerty as co-defendants.

12/18/2020:

Petitions for involuntary Chapter 7 Bankruptcy are filed against

Girardi

and G&K in the US Bankruptcy Court in the Central District. On 3/16/2021 and 4/20/2021, the Bankruptcy Court approves stipulations to dismiss Girardi and G&K from the instant lawsuit.

7/21/2021: Plaintiffs file the operative Second Amended Complaint ("SAC"), alleging causes of action for:

1. Aiding and Abetting Breach of
Fiduciary Duty

2. Financial Elder Abuse

In

the SAC, Plaintiffs alleges that Lira was a partner at G&K until May 2020, that he knew about the unpaid/misappropriated attorney fees payments, and that he aided and abetted Girardi's non-payment of the fees. On 10/27/2021, the Court overrules Lira's demurrer to the SAC. (See Minute Order, 10/27/2021.)

8/29/2022: The Court denies Lira's motion for

summary judgment, but grants Lira's motion for summary adjudication on the second cause of action for financial elder abuse. (See RJN, Exhs. 1, 4.) Thereafter, Sheldon and the Sheldon Firm dismissed their aiding and abetting breach of fiduciary duty cause of action and the noticed an appeal on their elder abuse claim.

On the

same date, the Court grants the motion for summary judgment filed by Ms. Girardi. (Minute Order, 8/29/2022; see RJN, Exh. 1.) On 1/28/2026, the Court of Appeal affirmed the trial court's ruling on Ms. Girardi's motion for summary judgment. (RJN, Exh. 3.)

9/29/2022: The Court grants Defendant EJ Global, LLC's motion for judgment on the pleadings. (RJN, Exh. 2.)

8/29/2025: The Court of Appeal issues a consolidated opinion on Plaintiffs' appeal of Lira's motion for summary adjudication and EJ Global, LLC's motion for judgment on the pleadings, affirming the trial court's decision as to Sheldon and EJ Global, but not as to Finn and Lira. (RJN, Exh. 4.) The Court of Appeal later issued a remittitur on 11/13/2025. (RJN, Exh. 5.)

6/30/2026: The Court lifts the stay on this action. (Minute Order, 6/30/2026.)

As

of this date, only the two causes of action brought by Finn remain pending against Lira.

7/1/2026: Lira files this Motion for Judgment on the Pleadings, which is followed by Finn's Opposition (7/23/2026) and Lira's Reply (7/28/2026).

TENTATIVE

RULING: DEFENDANT DAVID LIRA'S MOTION FOR JUDGMENT ON THE PLEADINGS AS TO THE SECOND AMENDED COMPLAINT is GRANTED without leave to amend in part and DENIED in part.

I. MOTION

FOR JUDGMENT ON THE PLEADINGS

A.

1st

Cause of Action: Aiding and Abetting Breach of Fiduciary Duty – GRANTED without leave to amend

Finn fails

to state a claim for aiding and abetting breach of fiduciary duty against Lira as a matter of law. “[T]o analyze the sufficiency of [the plaintiffs’] claim for aiding and abetting breach of fiduciary duty, we must first ‘identify precisely the breach of fiduciary duty for which [the plaintiffs] seek[] to hold [the defendants] liable.’” (Nasrawi v. Buck Consultants LLC (2014) 231 Cal.App.4th 328, 343 (Nasrawi).) Here, Finn’s first cause of action is predicated on the conclusion that “Girardi had a fiduciary duty” to Plaintiffs based on their joint venture in representing clients in the TXI Cases. (SAC, ¶ 36.) Finn alleges Lira is liable for aiding and abetting Girardi/G&K in breaching this duty. (Id. ¶ 37.) Without a commission of the underlying breach of fiduciary duty by Girardi/G&K, Finn cannot establish an underlying tort which Lira aided or abetted. (Nasrawi, supra, 231 Cal.App.4th at p. 343.)

The Court

finds that Finn’s aiding and abetting theory against Lira must fail because Finn cannot establish the existence of an underlying fiduciary duty between co-counsel which could have been breached. In Beck v. Wecht (2002) 28 Cal.4th 289 (Beck), the California Supreme Court adopted “a bright-line rule refusing to recognize” a fiduciary duty between co-counsel who endeavor to jointly represent clients. (Id. at p. 298.) As the Second District Court of Appeal (Case No. B325921) made clear in its decision considering the trial court’s summary judgment rulings against Lira in this very case, “the Beck court expressly declined to adopt a fact-specific approach to resolving the issue of whether a fiduciary duty to co-counsel exists.” (RJN, Exh. 4, at p. 15.) In other words, Beck confirms the categorical rule that there is no fiduciary duties between joint counsel. (Beck, supra, 28 Cal.4th at p. 298.)

In

addition to the binding precedent set by the California Supreme Court in Beck, Lira also argues that the “law of the case doctrine” requires this Court to adopt the reasoning set forth by the Court of Appeal in finding that Beck controls

the fiduciary duty analysis. "The law of the case doctrine states that when, in deciding an appeal, an appellate court 'states in its opinion a principle or rule of law necessary to the decision, that principle or rule becomes the law of the case and must be adhered to throughout its subsequent progress, both in the lower court and upon subsequent appeal.'" (Optional Capital, Inc. v. Akin Gump Strauss, Hauer & Feld LLP (2017) 18 Cal.App.5th 95, 108 (Optional Capital).) "The doctrine applies to a rule of law necessarily decided in an appellate decision and determines 'the rights of the same parties in any subsequent retrial or appeal in the same case.'" (Ibid.)

Finn responds

that the "law of the case doctrine" is inapplicable here because the Court of Appeal's decision did not concern the rulings as to the claims between Finn and Lira, and thus it does not pertain to the same parties. (Opp., at p. 2.) Even so, the appellate decision construed the same operative SAC and addressed the same co-counsel relationship between Plaintiffs and Girardi. Further, the appellate ruling here is plainly distinguishable from that in Optional Capital, which involved subsequent litigation and different issues. As a matter of judicial efficiency, it would be non-sensical to find that the Court of Appeal's reasoning under Beck is not equally applicable to the fiduciary relationship underlying Finn's claims against Lira. Indeed, Beck expressly rejected this "case-by-case" approach to determining the existence of a fiduciary duty between co-counsel. (Beck, supra, 28 Cal.4th at p. 298.)

In any

event, Beck is binding on this action regardless of whether the Court of Appeal's decision is operative pursuant to the "law of the case doctrine." Critically, Plaintiff does not identify any citation to prior motions or rulings demonstrating that the specific legal issue regarding the existence of a fiduciary relationship between co-counsel was already argued and rejected on demurrer. Because no fiduciary duty could have existed between Girardi/G&K and Finn under Beck's bright-line rule, Lira cannot have aided or abetted any breach of fiduciary duty by Girardi/G&K as a matter of law.

Finally,

the Court finds that Finn has not overcome his burden of demonstrating that he will be able to cure the defects in the first cause of action if given the opportunity to amend the SAC. Finn's Opposition makes almost no reference to the aiding and abetting claim and fails to identify any novel factual theory which could circumvent the non-existence fiduciary relationship between Finn

and Girardi/G&K on which this claim against Lira is premised. (Opp., at pp. 2, 7.)

Therefore,

Lira's motion for judgment on the pleadings as to Finn's first cause of action is GRANTED without leave to amend.

B.

2nd

Cause of Action: Financial Elder Abuse – DENIED

The Court

finds that Finn has adequately pled a claim for financial elder abuse against Lira. Under Welf. &

Inst. Code, § 15610.30, "financial abuse" of an "elder" (a person over the age of 65 years) occurs when a defendant either "[t]akes, secretes, appropriates, obtains, or retains" or "[a]ssists in taking, secreting, appropriating, obtaining, or retaining" the property of an elder ... for a wrongful use, with the intent to defraud, or by undue influence. (Welf. & Inst. Code, § 15610.30, subd. (a).) Here, Finn's elder abuse claim alleges that Lira assisted Girardi in "taking, hiding, misappropriating, obtaining, and/or retaining [] Finn's property with the intent to defraud [] Finn" of \$3.94 million in attorneys' fees earned for the TXI Cases. (SAC, ¶¶ 30, 41.)

Lira primarily

argues that he cannot be liable to Finn, in his individual capacity, because the "property" at issue belonged to the Finn Firm, not Finn in his individual capacity. (Mot., at p. 9.) Although Lira cites the SAC to suggest that the fee-sharing agreement was executed only between G&K and the Finn Firm, as a sole proprietorship, Lira does not point to any specific allegations on the face of the SAC which support this assertion. Instead, the SAC refers generally to a fee-sharing agreement executed by "Plaintiffs" generally, which necessarily includes Finn in his personal capacity. (SAC, ¶¶ 1, 19.) As this Court has already observed in its prior ruling on Lira's demurrer, "it is significant that the subject agreements are not properly before the Court" as an exhibit to the SAC. (Minute Order, 10/27/2021.) As the Court explained, even if the Court could take judicial notice of these fee-sharing agreements (which are not attached to the face of the SAC or the subject of a request for judicial notice),

“they cannot be dispositive of the question of whether ANY of the agreements in the underlying cases(s) were enforceable as to ANY of the Plaintiffs herein.” (Id. at p. 4.) In the absence of contradictory exhibits attached to the SAC, the Court is limited to considering only those factual allegations on the face of the pleadings.

Notwithstanding

the basic rule prohibiting the consideration of extrinsic evidence on a pleadings-based motion, Lira also attempts to rely on deposition testimony (which is extrinsic to the pleadings and not judicially noticeable for its truth) to establish that Finn admitted under oath that he did not enter into a written free-sharing agreement with G&K. (Mot., at p. 10; Rep., at p. 5.) This evidence, however, is not properly considered on a motion for judgment on the pleadings. Based on the facts available on the face of the SAC alone, the Court finds that Finn has adequately alleged that he held a personal property interest in the attorneys’ fees that he earned in the TXI Cases. (See SAC, ¶¶ 1, 19, 30-33.) For the same reason, Lira’s reliance on extrinsic deposition testimony to show that (a) Finn cannot quantify the hours he worked to support a claim for quantum meruit and (b) Lira had no intent to defraud him is also immaterial at the pleadings stage. (Mot., at p. 10-11.)

Additionally,

Lira concedes that a “sole proprietorship has no separate legal existence from its owner.” (Mot., at pp. 9-10; Rep., at p. 5.) Unlike the Sheldon Firm, which is a professional corporation, the Finn Firm is merely a sole proprietorship. (SAC, ¶¶ 5-8.) Thus, Lira’s argument that the Court of Appeal’s analysis on the definition of “representative” in the context of the Sheldon Firm has no application to the relationship between Finn and the Finn Firm.

Ultimately,

because the substance of Lira’s motion with respect to the second cause of action is based on extrinsic evidence rather than the content of the SAC, the Court finds Lira fails to overcome his burden of demonstrating that he is entitled to judgment on the pleadings as to his financial elder abuse claim.

Therefore,

Lira’s motion for judgment on the pleadings as to Finn’s second cause of action is DENIED.

II. REQUESTS

FOR JUDICIAL NOTICE

Defendant

requests judicial notice of the following exhibits:

1. Tentative Ruling (dated 8/26/2026)

on Defendant Lira's Motion for Summary Judgment/Adjudication and Defendant Erika Girardi's Motion for Summary Judgment (RJN, Exh. 1)

2. Tentative Ruling (dated 9/22/2022)

on Defendant EJ Global, LLC's Motion for Judgment on the Pleadings (RJN, Exh. 2)

3. Opinion of the Court of Appeal

(dated 1/28/2025) (Case No. B324878) (RJN, Exh. 3)

4. Opinion of the Court of Appeal

(dated 8/29/2025) (Case No. B325921) (RJN, Exh. 4)

5. Remittitur Issued by the Court of

Appeal (dated 11/13/2025) (Case No. B325921) (RJN, Exh. 5)

6. Excerpts from the transcript of

Robert Finn's deposition (dated 7/26/2022) (RJN, Exh. 6).

The Court

takes judicial notice of the existence of the underlying rulings set forth in Exhibits 1-5 pursuant to Evidence Code section 452, subdivision (d). The Court declines, however, to take judicial notice of Exhibits 6 as it is an improper attempt to introduce extrinsic evidence on a pleadings-based motion.

Defendant David Lira to serve notice of

ruling. This tentative ruling ("TR") shall be the order of the Court unless changed at the hearing and shall by this reference be incorporated into the Minute Order.

TR emailed to counsel and posted to court's website on 8/4/26 at 2 p.m.